

HR / 25 December 2025

Corporate NPS Policy

Policy Objective

This policy aims to provide guidelines and procedures to contribute to Corporate National Pension Scheme through Bajaj Auto and avail the associated benefits.

Introduction to Corporate National Pension Scheme

- Pension Fund Regulatory and Development Authority (PFRDA) governs the Corporate National Pension Scheme
- This scheme facilitates an employee to contribute regularly in a NPS account through the employer i.e. through Bajaj Auto Ltd.
- The employee can withdraw a part of the corpus after the lock-in period and invest the remaining portion of the corpus in annuity to secure a regular income (pension) after retirement subject to rules and regulation of National Pension Scheme

Bajaj Auto Limited has currently partnered with ICICI for the roll out and management of Corporate NPS. **ICICI** will serve as the Point of Presence (POP) and the Pension Fund Manager (PFM).

Applicability/Eligibility

- This scheme is applicable to **all L4 and above employees** (Drawing salary in INR) between **18 to 65 years of age**
- Only Indian citizens are eligible
- Participation in the Corporate **NPS scheme is voluntary in nature**

Benefits of Corporate National Pension Scheme

- The Corporate NPS scheme facilitates employees to contribute through employer in NPS account on periodic/monthly basis and accumulate the corpus in designated NPS account to secure a regular income after retirement
- Currently under the Income Tax Act, Contribution under Corporate NPS scheme qualify for Income tax deduction Under Section 80CCD (2) i.e. up to 10% of Basic under old tax regime and up to 14% of Basic under the new tax regime, without any cap
- This tax benefit is in addition to -
 - The ceiling limit of Rs.1.5 lakh under **Section 80C** and;
 - The limit of Rs. 50,000 under **Section 80CCD(1B)** in case of contribution to NPS in individual capacity under old tax regime.
- Disclaimer: Tax benefit will change in case of any changes in the taxation laws.

Participation and Contribution to Corporate NPS

Stage – 1: Corporate NPS Account opening

- An Employee is required to visit the following [link](#) to create their NPS account.
- Upon successful opening of the account, a unique Permanent Retirement Account Number (PRAN) is generated for the employee

The employee has to bear applicable charges towards opening and management of corporate NPS account and as mentioned in the Annexure A.

Stage – 2: Declaration for participation in the scheme and monthly contribution through EC

- Declare your desired NPS contribution percentage in EC by following below steps:
 - **Path – EC→My Employee File→Benefits Overview→Benefits→Go to Benefits→NPS Tile→Enrol Now**
- Employer's contribution towards NPS can be chosen from range of 1-14% of basic salary subject to availability of equivalent amount that can be adjusted from employee's miscellaneous allowance.
- On completion of above process, employee will be joining the corporate NPS scheme and his/her Salary letter will reflect the separate head called "Employers' Contribution to NPS"
- Please note, employer's contribution towards NPS will be linked to the basic salary of the employee, hence, any change in basic salary (on account of annual increment etc.) will reflect in the employer's contribution towards NPS as well.

Stage – 3: Changes in employee's CTC structure subsequent to his/her opting for Corporate NPS

- There will be no change in CTC of the employee if one opts for corporate NPS, since -
 - The contribution declared on EC portal will be reduced from the miscellaneous allowance for employer's contribution towards the NPS in equal instalments for the Financial Year
 - Bajaj Auto as the employer will deposit employer's contribution to NPS account of the employee (please note that PRAN is mandatory for this)

Shifting of PRAN to Bajaj Auto

- It is necessary to shift your PRAN number to your respective Bajaj Auto company before contributions can be made to NPS. This must be done in the following two cases: (i) You have an existing PRAN number and were making contributions in your previous company, (ii) You have created a new PRAN number for the purpose of making contributions while working at Bajaj Auto.
- Please use below links to shift PRAN from previous organisation to your respective Bajaj Auto Company to begin making contributions.
 - Bajaj Auto Limited: [Please Click Here](#)
 - Bajaj Auto Technology Limited: [Please Click Here](#)
 - Bajaj Auto Credit Limited: [Please Click Here](#)

Opting out (OR) Exit from the Scheme

- **Opting out from Corporate NPS:**
 - The employee can opt out of the corporate national pension scheme through Bajaj Auto only at the beginning of the financial year
 - If the employee does not provide such intimation at the beginning of the financial year (on or before 15th April) on EC, in such cases, the employees enrolment will be deemed as continue for that financial year as well.
 - Steps to opt out:
 - **Path – EC→My Employee File→Benefits Overview→Benefits→Go to Benefits→Deductible Allowances Tile→Opt Out**

- Post opting out of the scheme, the amount equivalent to the employer's contribution towards NPS will be rolled back to the miscellaneous allowance with revised salary letter keeping no change in the CTC
- **Exiting from Corporate NPS (closing the account):**
 - Please refer "NPS Exit Options" under Annexure A for more information on exit options from Corporate NPS.

Please note that, Bajaj Auto Limited bears no responsibility towards investment of amount contributed to NPS account and the returns thereof.

The clauses mentioned in this policy are subject to change in line with rules, regulations, guidelines framed by from NSDL, PFRDA and other related government bodies from time to time. In case of any mismatch between government rules and this policy, the government rules and regulations shall hold precedence over the rules and regulations mentioned in this policy.

The management reserves the right to modify or withdraw this policy, in part or full, with or without prior information to the employees. Any exercise of Company discretion, wherever provided for, in this policy, shall be binding on the employee. In cases where special considerations arise and need to be carried out resulting in deviations from the provisions of this policy, prior approval of CHRO shall be required.

Annexure A

As per government regulations, certain charges are payable to appropriate agencies for management of NPS account. The charges will be recovered directly from the NPS Account.

The details about all such charges are given below:

1. CRA Charges – PCRA (Protean eGov Technologies Ltd. / NSDL)

Charge Category	Service Description	Charges	Recovery Method
PRAN Generation	Physical PRAN	₹40 (one-time)	Unit cancellation
	ePRAN (email based)	₹35 (one-time)	Unit cancellation
Account Maintenance	Annual PRA maintenance	₹69 p.a.	Unit cancellation
Transaction Processing	Financial / Non-financial transaction	₹3.75 per transaction	Unit cancellation

2. POP (Point of Presence) Charges (Effective 01 Jan 2026)

Charge Category	Details	Charges	Recovery Method
POP Service Charge – Year 1	AUM based	0.20% p.a. of AUM (Min ₹30) OR ₹200 flat	Unit cancellation
POP Service Charge – Subsequent Years	AUM based	0.20% p.a. of AUM (Min ₹30)	Unit cancellation
Persistency Fee	Based on contribution slab	₹50 / ₹75 / ₹100 p.a.	Unit cancellation
Exit / Withdrawal Processing	Corpus based	0.125% of corpus (Max ₹500)	Collected by POP

3. Pension Fund Manager (PFM) Charges (Investment Management Fee – Non-Government Sector, effective 01 Apr 2026)

AUM Slab (₹ Crore)	IMF (p.a.)	Recovery Method
Up to 25,000	0.12%	NAV adjustment
25,001 – 50,000	0.08%	NAV adjustment
50,001 – 1,50,000	0.06%	NAV adjustment
Above 1,50,000	0.04%	NAV adjustment

4. Custodian Charges

Service	Charges	Recovery Method
Asset servicing	0.000000001770% p.a.	NAV adjustment

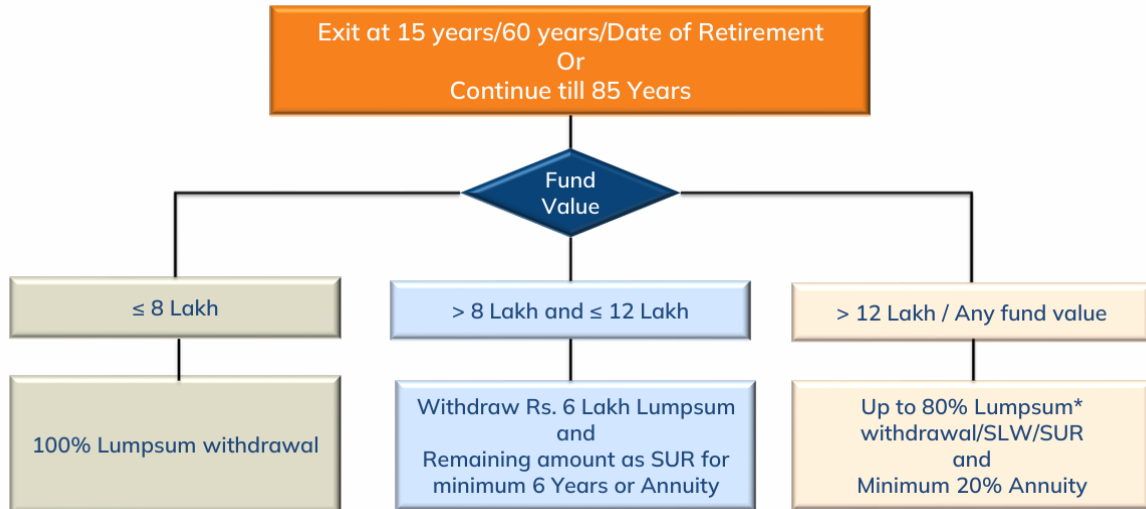
5. NPS Trust Charges

Important Notes

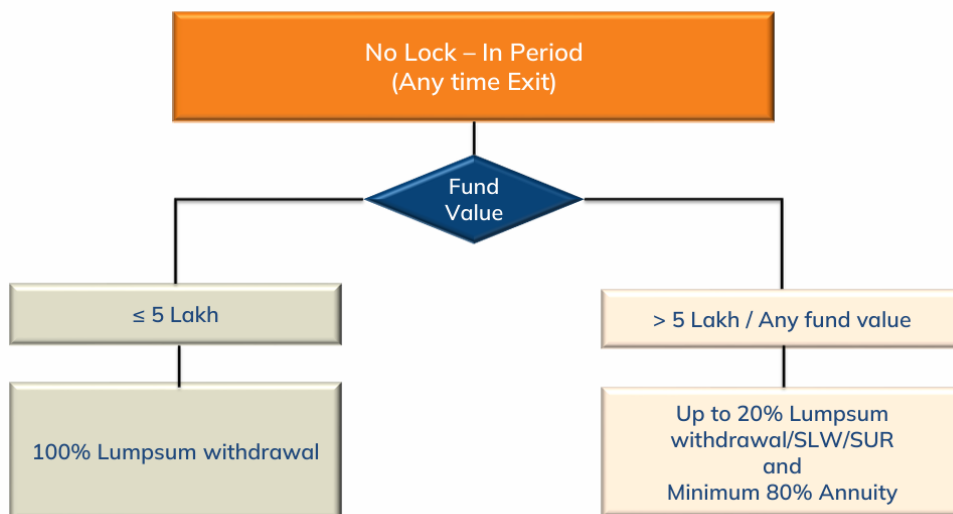
- CRA and POP service charges are recovered through cancellation of NPS units.
- PFM, Custodian, and NPS Trust charges are adjusted through NAV reduction.
- Charges are regulated and standardized by PFRDA and subject to revision as notified.
- *Subject to a minimum Rs 20 and maximum Rs 20,000
- Additional GST as per government rules is applicable to the above charges

6. NPS Exit Options:

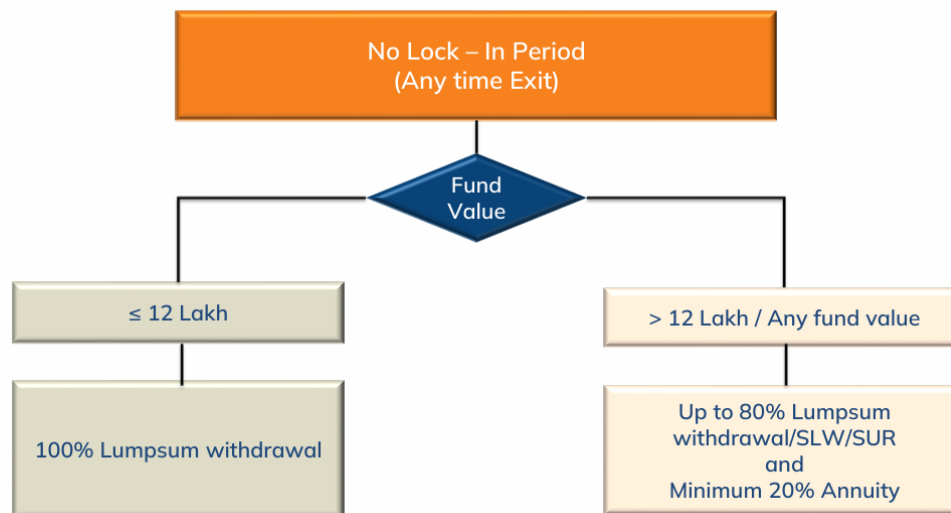
a. Normal exit



b. Premature exit



c. NPS exit if joined after 60 years



Frequently Asked Questions

1. Queries related to account opening:

1.1. What is the process to open a new Corporate NPS account?

Employees can enroll into corporate NPS by filling this form.

A unique Permanent Retirement Account Number (PRAN) is assigned to each NPS account

1.2. What are the documents to be submitted for opening a Corporate NPS account?

The following documents need to be submitted to the POP for opening of a Corporate NPS account:

- A valid Mobile number and Email ID
- There are four modes of registration as mentioned below:
 - Aadhaar Paperless Offline eKYC based registration
 - Permanent Account Number (PAN) based registration
 - Digilocker with Aadhaar/Driving License
 - CKYC Number
- Active Bank account with Net Banking facility with one of the Banks linked with Payment Gateway Service Provider (click here for List of Banks)
- Scanned copy of photograph (Only for PAN based registration journey) and signature in *.jpeg/*.jpg/*.png format having file size between 4KB - 5MB each

1.3. Can an employee open more than one Corporate NPS account?

No. An employee can open only one NPS account for his/her entire life span.

The NPS account number which is known as Permanent Retirement Account Number (PRAN) is fully portable across India.

1.4. If I have invested in any other provident fund/ pension funds of non-government / private entities can I still invest in Corporate NPS?

Yes. Investment in Corporate NPS is independent of your contribution to any Provident Fund/ pension funds of non-government / private entities

1.5. What is the difference between Tier I and Tier II NPS accounts?

Tier I NPS Account	Tier II NPS Account
✓ It is a Pension Account under NPS scheme ✓ All investments & related tax benefits will be through this account only ✓ Withdrawal from this account is restricted ✓ The minimum annual contribution required to this account is Rs 1000/- ✓ The minimum contribution at any time is Rs 500/-	✓ It is an investment account ✓ There are no tax benefits in Tier II NPS account ✓ Withdrawal from this account can be done at any point of time as per employee's need ✓ There is no minimum annual contribution required in this account ✓ The minimum contribution at any time is Rs 250/-

1.6 Is it mandatory to open Tier II NPS account at the time of opening a Tier I NPS account?

No. Opening Tier II NPS account is optional and can be opened at any other point of time.

1.7. Can an employee open only Tier II NPS account?

No, employee cannot directly apply for a Tier II NPS account. An active Tier I NPS account is a pre-requisite for a Tier II NPS account.

1.8. What would happen if the minimum annual contribution is not made to the corporate NPS account?

- It is the sole responsibility of the employee to meet the prescribed minimum contribution requirements
- The account will get frozen in case an employee doesn't maintain the prescribed minimum annual contribution
- For unfreezing the account, the employee has to pay applicable charges to POP

1.9. Can an employee select the fund manager and investment options of his/her own choice?

1. Employee can change the fund manager once in a year and asset allocation can be changed 4 times in a year. They can make the changes by visiting the CRA(NSDL) website or by the mobile application called NPS by Protean which is available in both iOS and playstore.

2. Transferring NPS account

2.1. If an employee is already having a NPS account (Corporate or Individual), does he/she need to open a new NPS account for enrolling through Bajaj Auto?

- No. employee does not need to open a new NPS account if he/she already has an NPS account
- For shifting the existing account to Corporate NPS (With Bajaj Auto), the employee has to visit the respective company's shifting link
 - Bajaj Auto Limited: [Please Click Here](#)
 - Bajaj Auto Technology Limited: [Please Click Here](#)
 - Bajaj Auto Credit Limited: [Please Click Here](#)

2.2. What happens to the NPS account if the employee leaves the job?

- If an employee joins an organization which is offering NPS: Employee can transfer his/her NPS account to new employer
- If an employee joins an organization that does not offer NPS OR is not working/self-employed:
- Employee can shift his/her NPS account to Retail NPS account

3. Frequency for declaration/making changes to contribution towards NPS

3.1. How many times an employee can declare/change the contribution amount towards corporate NPS?

- For the ease of administration changes to the contribution amount will be allowed only at the beginning of the Financial Year (on or before 15th April)

Path - EC→Benefits→NPS→ Open Enrolments → Enrol Now

4. Appointing Nominees

4.1. Can I appoint more than 1 nominees for the NPS Account?

- Yes, you can appoint up to 3 nominees for your NPS account.
- In such a case you are required to specify the percentage of your savings that you wish to allocate to each nominee.

4.2. I have not made any nomination at the time of registration. Can I nominate subsequently? Yes, the employee can add nominees with the help of POP by paying the applicable charges.

4.3. Can I change the Nominees for my NPS Accounts?

Yes, the employee can change nominees with the help of POP by paying the applicable charges.

5. Exit from NPS (Closing NPS account)

5.1. In the event of the death what will be the benefit that is payable and who will get the benefits?

In the unfortunate event of death, the entire accumulated corpus can be claimed by Nominee or Legal heir

5.2. What will happen to my withdrawal if my PRAN is in frozen or inactive state at the time of withdrawal?

The withdrawal will be processed like a normal withdrawal, however applicable charges will be deducted from the withdrawal claim.